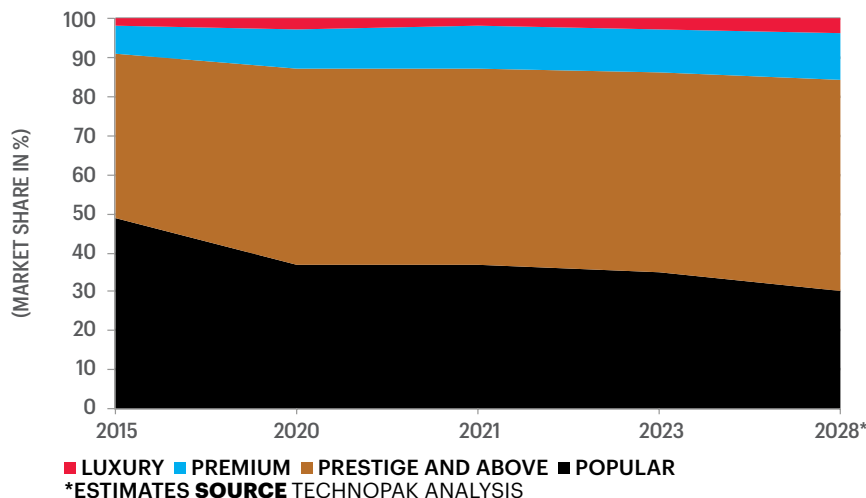


RISING SPIRITS

▶ The reduced proportion of popular brands is expected to continue for a while ▶ Prestige and above to see sharpest growth and more product launches



₹26,018 CRORE

THE AMOUNT
REPORTED AS GROSS
SALES BY DIAGEO
INDIA IN FY24; NET
PROFIT WAS ₹1,408
CRORE, WHILE THE
NET PROFIT MARGIN
WAS 12.43%

SOURCE ACE EQUITY,
ANNUAL REPORTS

company owns) was going through a bit of a challenge, which was a big push. "It also showed us how to premiumise it within the category and brand."

The American Pride variant costs nearly twice as much as the base version, ensuring no user overlap. Funnily enough, Royal Challenge (RC as it is popularly known) was once a premium brand, and this success has opened up ways to do more with it. While RC's growth has been positive, Kundu points out that it is imperative to invest consistently. Signature and Antiquity are works in progress. A YES Securities report in June says Royal Challenge American Pride "already accounted for 8% of the Royal Challenge trademark". It outlines how the Black Dog Triple Reserve variant is 40% of the trademark, or Johnnie Walker Blonde, a light Scotch variant for the next-generation non-Scotch consumer, "now forms 7% of the trademark".

LAUNCHING SINGLE MALT

Nagarajan says Diageo India was not always known for successful innovation. Through proprietary tools, it picked up trends in bourbon, among other things. "We removed the outer carton on Signature when sustainability started to get very important or pushed for white spirits when a low-calorie choice was preferred. All that feeds

into our innovation pipeline," she says.

In the case of Indian single malt, the market had already opened up. "We were late to the game and wanted to get it right with a very good product," says Damodaran. Artisanal was the tack, and the brand was Godawan (another name for the Great Indian Bustard, the state bird of Rajasthan). "It gives us a chance to present Indian craft differently. The consumer views Godawan as a brand from artisanal makers." One is speaking of just a one million-case market, but it can take off on the back of premiumisation.

Take the case of tequila, where Don Julio was brought in from the global portfolio about a year ago. At that point, tequila was a 40,000-cases-per-year market in India. That has doubled, with Don Julio alone doing 15,000 cases. "The consumer insight came from tequila being healthy and not leaving one with a hangover," says Damodaran.

By picking up stakes in Nao Spirits, owners of the Greater Than and Hapusa gin brands, and more recently in Pistola, a player in the agave spirits business, Diageo has shown it wants a larger play in these segments.

The obvious opportunity in the portfolio lay in McDowell's, a brand founded 125 years ago that accounts for about two-thirds of the company's volumes. Recent launches under the brand have included an Indian